

Multiple Choice (10 marks)

1. If consumers are advised that multigrained bread will substantially lessen the risk of cancer, which of the following will happen in the market for multigrained bread?
 - (a) The demand curve will shift to the left, decreasing the price of multigrained bread.
 - (b) The supply curve will shift to the left, increasing the price of multigrained bread.
 - (c) The demand curve will shift to the right, increasing the price of multigrained bread.
 - (d) The supply curve will shift to the right, decreasing the price of multigrained bread.
2. The competitive market for gasoline, a normal good, is currently in a state of equilibrium. Which of the following would most likely increase the price of gasoline?
 - (a) Household income falls.
 - (b) Technology used to produce gasoline improves.
 - (c) The price of subway tickets and other public transportation falls.
 - (d) The price of crude oil, a raw material for gasoline, rises.
3. Suppose the President plans to cut taxes for consumers and also plans to increase spending on the military. How does this affect real GDP and the price level?
 - (a) GDP increases and the price level decreases.
 - (b) GDP decreases and the price level increases.
 - (c) GDP stays the same and the price level increases.
 - (d) GDP increases and the price level increases.
4. In the equation of exchange if V and Q are constant then
 - (a) changes in the price level must be proportional to changes in the money supply.
 - (b) changes in the money supply have no effect on the price level.
 - (c) changes in the price level have no effect on the money supply.
 - (d) the equation is invalid.
5. The standard of living is measured by
 - (a) GDP.
 - (b) GDP per capita.
 - (c) Real GDP per capita.
 - (d) Actual GIP per capita.

True / False (10 marks)

Answer True or False

6. True or False: If the price of aluminum falls, the supply of bicycles is likely to increase, assuming other factors remain constant.
7. True or False: According to Keynesian analysis, a decrease in the money supply lowers both the price level and output in the economy.
8. True or False: If global warming eliminates snow, ski instructors would face structural unemployment due to a permanent change in the job market.
9. True or False: Business cycles occur infrequently and do not follow a predictable pattern in capitalist economies.
10. True or False: Budget surpluses and higher discount rates are effective strategies to combat economic contraction during a business cycle.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a firm's ability to increase output more than proportionately to its inputs, exemplified by tripling inputs and quadrupling outputs, illustrates the concept of economies of scale.
12. Discuss how lowering personal income taxes could affect the aggregate demand in an economy. What are the potential consequences for consumers and overall economic activity?

End of Paper